

GRASIM — Grasim Industries Ltd

Sector: Industrials | Sub-sector: Diversified Industrials

Grasim Industries Limited is the flagship company of the Aditya Birla group, it ranks amongst India's largest private sector companies. On standalone basis, GIL's core businesses comprise of viscose Staple fibre (VSF), caustic soda, speciality chemicals, rayon-grade wood pulp (RGWP) with plants at multiple locations. It also has certain other businesses such as fertiliser, textile

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
11.2%	9.8%	7.6%	1.55	-33,833	11.2%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	31,734	2,582	11.2	10.2	2,235
2016-03	34,487	3,455	12.6	10.2	1,353
2017-03	36,068	4,246	13.5	13.7	3,779
2018-03	55,894	3,688	6.4	7.1	-2,594
2019-03	77,200	2,745	4.7	9.2	-3,871
2020-03	68,252	6,639	11.7	4.5	5,256
2021-03	76,404	6,987	10.7	10.1	7,929
2022-03	95,701	11,206	14.8	10.8	5,985
2023-03	117,627	11,078	14.1	9.4	-26,397
2024-03	130,978	9,926	11.2	9.8	-33,833

Financial health score: N/A | Band: nan

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	65,494	79,078	267,349	267,349
2022-03	75,699	74,744	289,149	289,149
2023-03	78,742	103,039	336,823	336,823
2024-03	88,653	137,155	412,116	412,116
2024-09	92,918	158,159	448,454	448,454

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	16,620	-11,364	-3,418	1,838
2021-03	15,075	-7,146	-8,003	-75
2022-03	7,038	-1,053	-6,733	-748
2023-03	-12,685	-13,712	26,469	72
2024-03	-10,719	-23,114	33,908	75

Capital allocation: **Distress Signal**

CFO quality score: 0 | CapEx intensity: 17.6% | FCF conversion: -124.4%

Pros

Profit CAGR exceeds 20% over five years.

Cons

Free cash flow is negative in the latest available year.; Free cash flow is not positive across the latest three-year window.; Capital expenditure intensity exceeds 8% of sales.

